

Fundamentals of Strategic Management

Principles of Management, 2nd Edition
Borges, Lee, Ramasamy, Piaralal, Ismail, Koon (2023)

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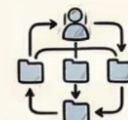
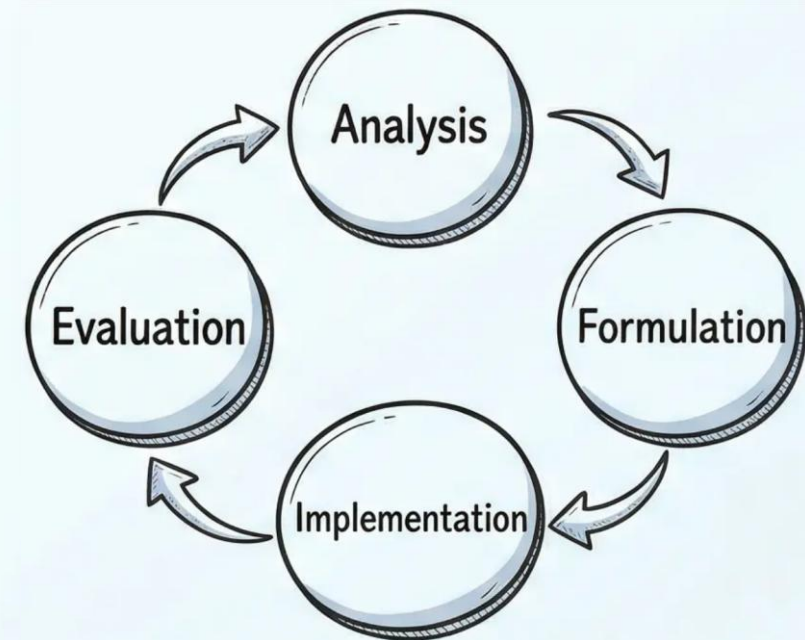


Purpose and Scope of the Chapter

Chapter Objectives

- Define strategic management and its significance
- Distinguish strategic from operational management
- Understand the four phases of strategic process
- Connect strategy with POLC framework

Strategic Management Process



Planning → Organizing → Leading → Controlling

Introduction to Strategic Management

Strategic management is a systematic, ongoing process of aligning resources and executing plans to achieve long-term goals and sustainable competitive advantage in dynamic environments.

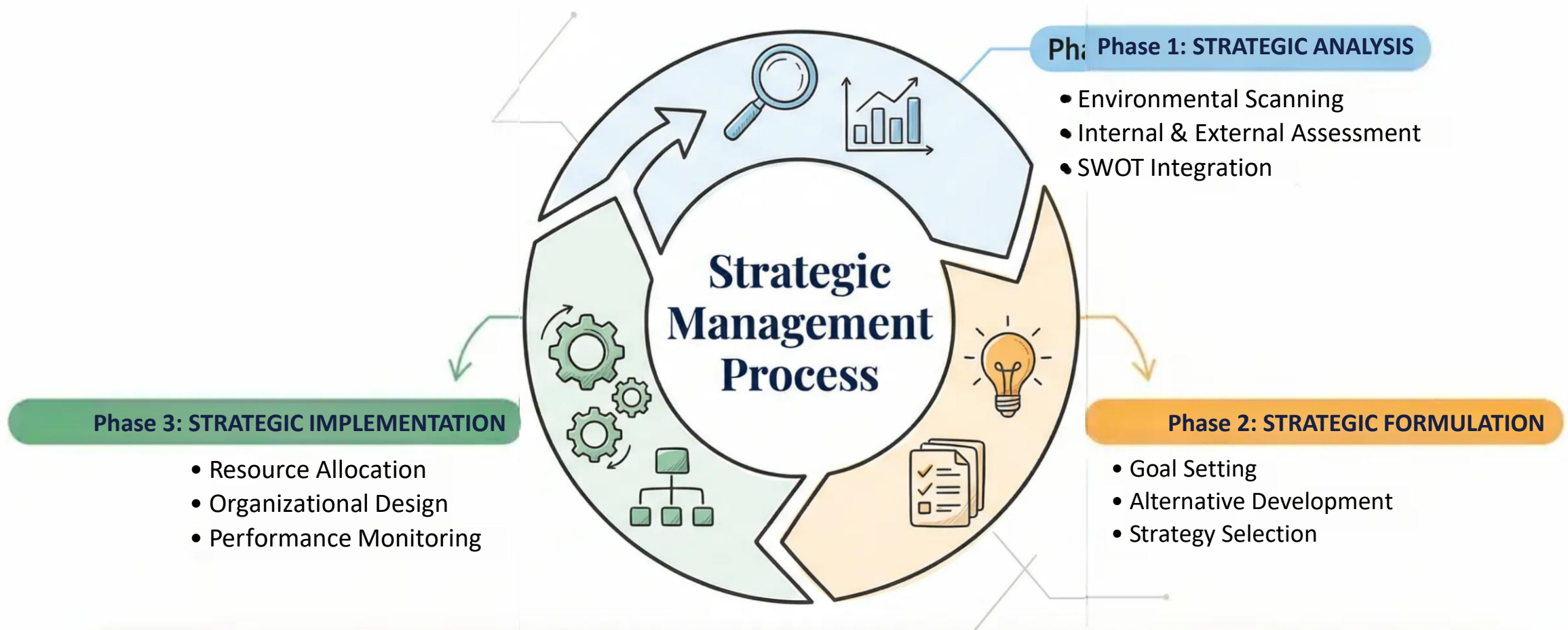
Key Components

- Systematic Process
- Resource Alignment
- Long-term Focus
- Competitive Advantage
- Dynamic Adaptation



The Strategic Management Process Overview

A Continuous Cyclical Framework



Ensures organizational adaptability and alignment with internal and external realities

Strategic Analysis: External Environment

Understanding Macro-Environmental Forces

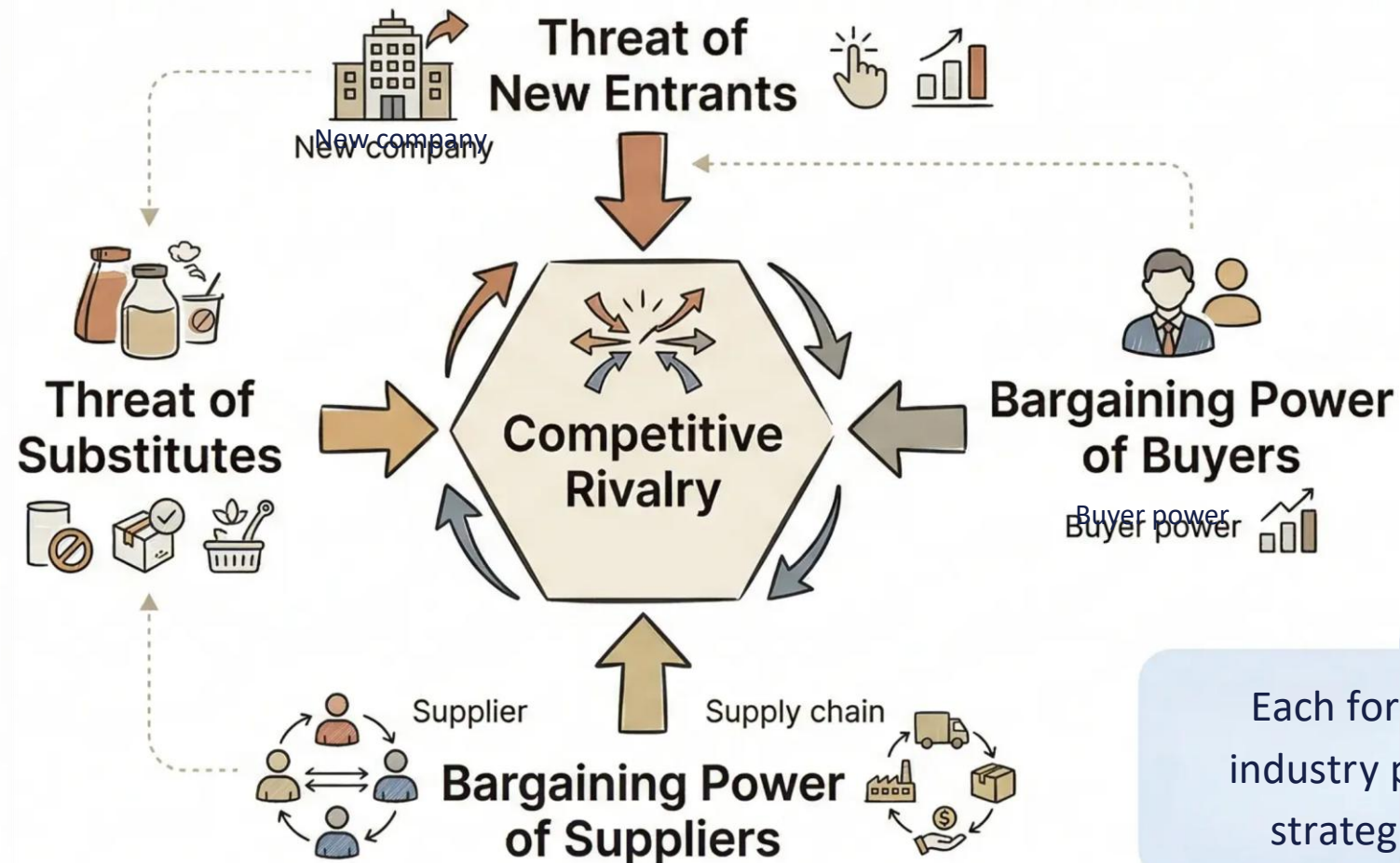
Key Concept Box: Organizations must continuously scan their external environment to identify opportunities and threats that could impact strategic success



These external forces are largely uncontrollable but must be anticipated and integrated into strategic planning

Porter's Five Forces Model

Analyzing Industry Competitiveness



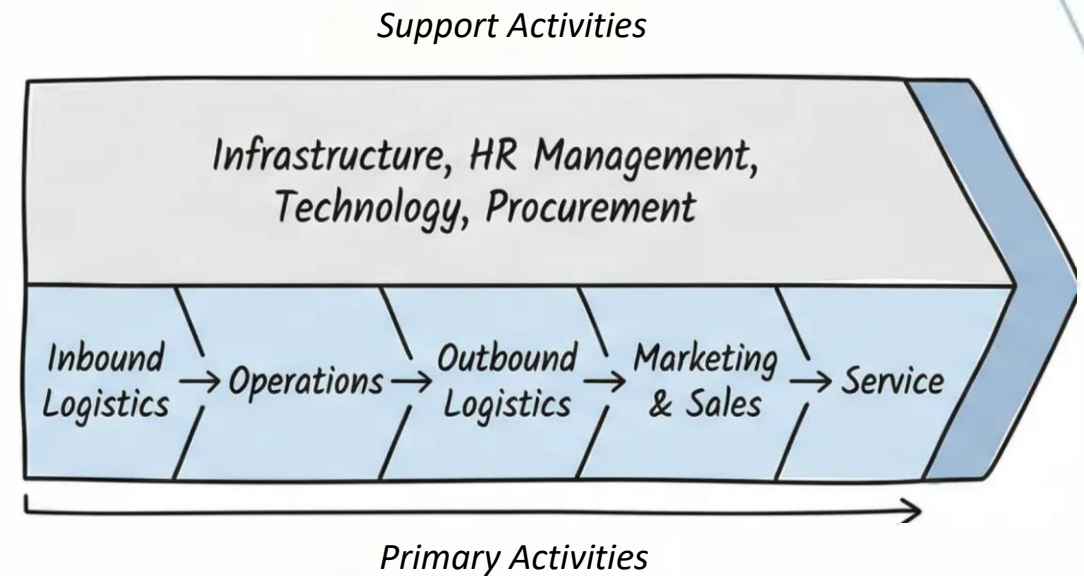
Internal Environmental Analysis

Resources & Capabilities

- Physical Assets (facilities, equipment, technology)
- Financial Resources (capital, cash flow, credit)
- Human Capital (skills, knowledge, experience)
- Intellectual Property (patents, brands, reputation)

Core Competencies

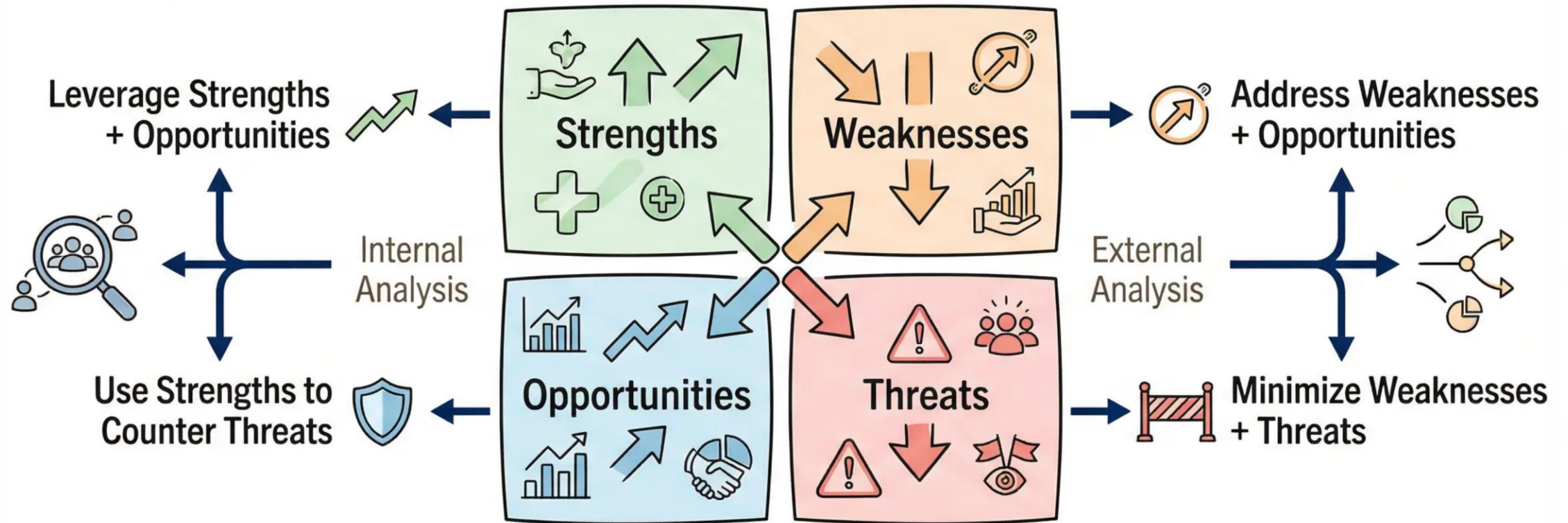
- Unique organizational strengths
- Difficult for competitors to replicate
- Source of sustainable advantage
- Examples: Innovation, customer service, efficiency



Value Chain Analysis helps identify where your organization creates the most value and competitive advantage

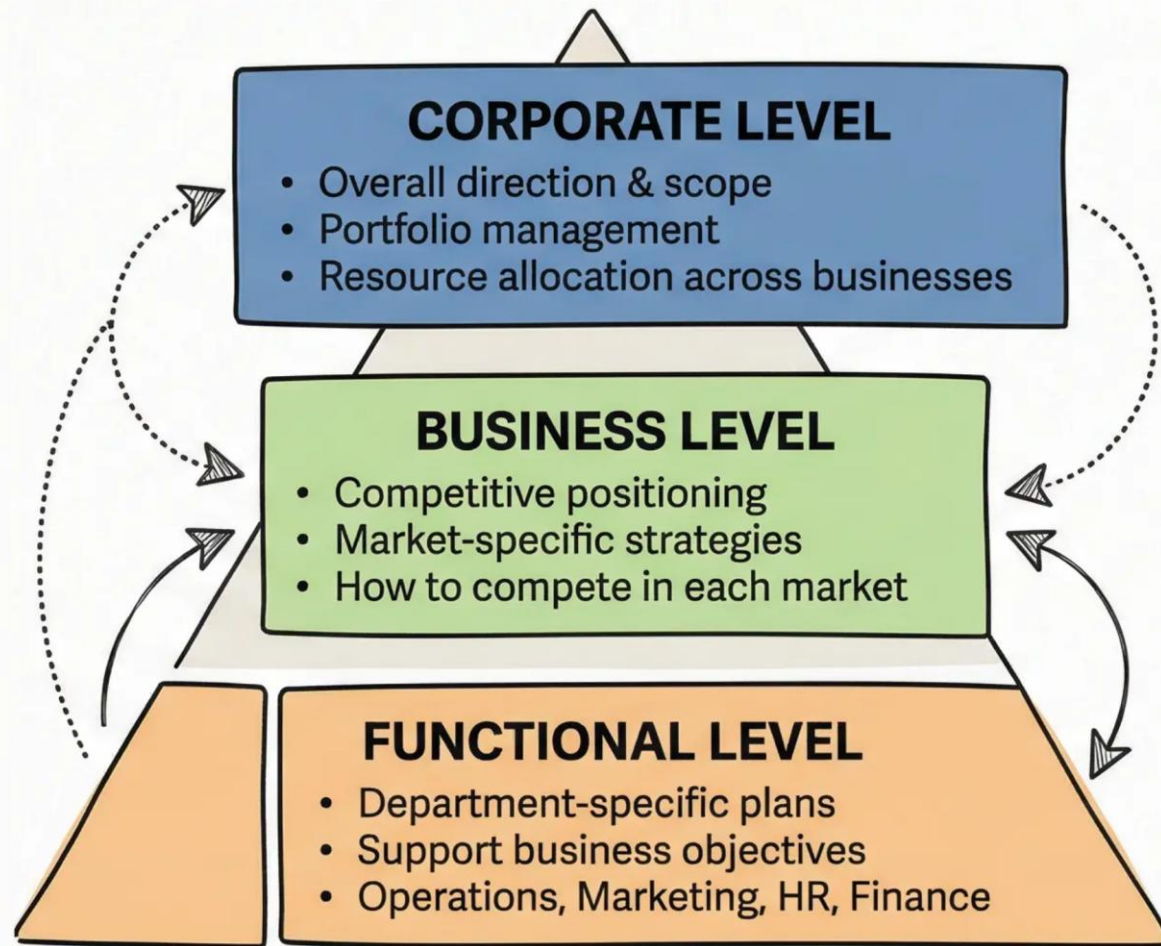
SWOT Analysis Integration

SWOT analysis combines internal strengths and weaknesses with external opportunities and threats to provide a comprehensive snapshot for developing strategic options



Three Levels of Strategy

Interconnected Strategic Decision-Making Framework



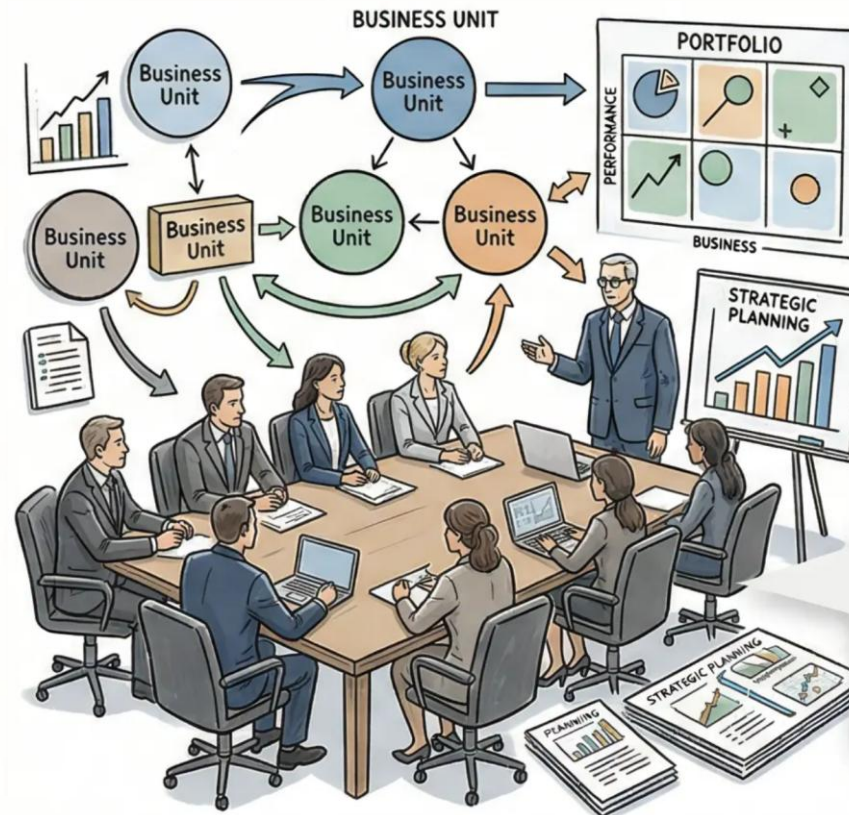
Each level must align with others for organizational success

Corporate Level Strategy

Strategic decisions made by top executives that determine the overall scope and direction of the entire organization

Key Focus Areas

- Portfolio Management
“Evaluating and optimizing business unit performance”
- Diversification Strategy
“Expanding into new markets or industries”
- Mergers & Acquisitions
“Growth through strategic partnerships”
- Resource Allocation
“Distributing capital and talent across divisions”



Led by:

- Chief Executive Officer (CEO)
- Board of Directors
- Senior Executive Team
- Corporate Strategy Office

Corporate strategy answers the fundamental question: What businesses should we be in?

Business Level Strategy

Competing for Advantage Within Specific Markets



Cost Leadership

- Achieve lowest cost position while maintaining acceptable quality
- Walmart's supply chain efficiency



Differentiation

- Offer unique products or services valued by customers
- Apple's innovative design and ecosystem



Focus Strategy

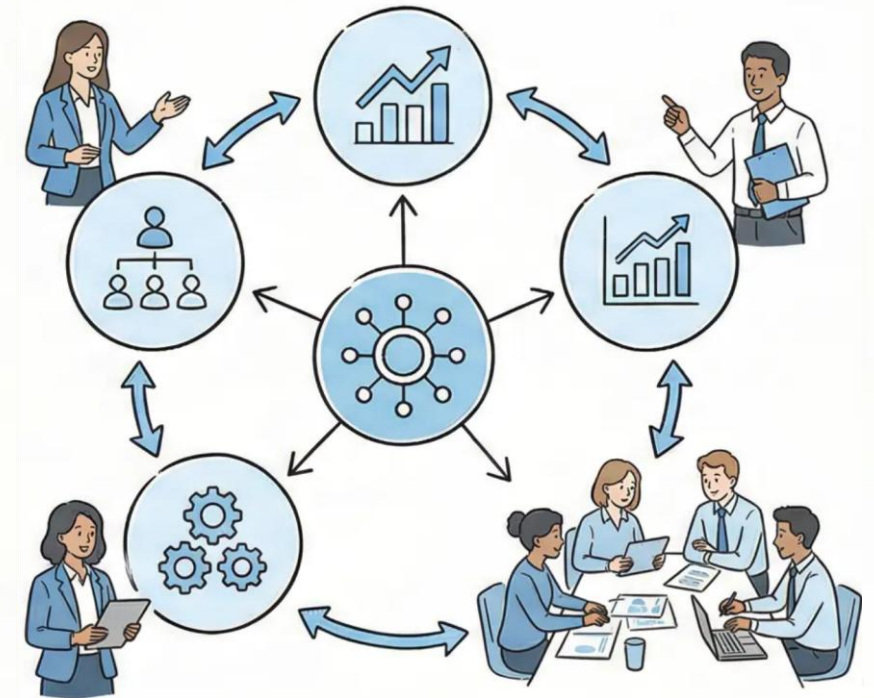
- Target narrow market segment with cost or differentiation advantage
- Tesla's luxury electric vehicle niche

Functional Level Strategy

Aligning Departmental Operations with Strategic Goals

Individual departments align their operations and goals with broader business and corporate strategies to ensure effective execution

-  **Marketing:** Brand positioning & customer engagement
-  **Finance:** Resource allocation & performance measurement
-  **Human Resources:** Talent development & culture alignment
-  **Operations:** Process efficiency & quality management
-  **R&D:** Innovation & product development



Alignment Focus: Ensuring all functions contribute to strategic objectives through coordinated efforts and shared performance metrics

Strategy Formulation and Alternatives

Strategy formulation is the systematic process of developing and selecting strategic alternatives to achieve long-term organizational objectives

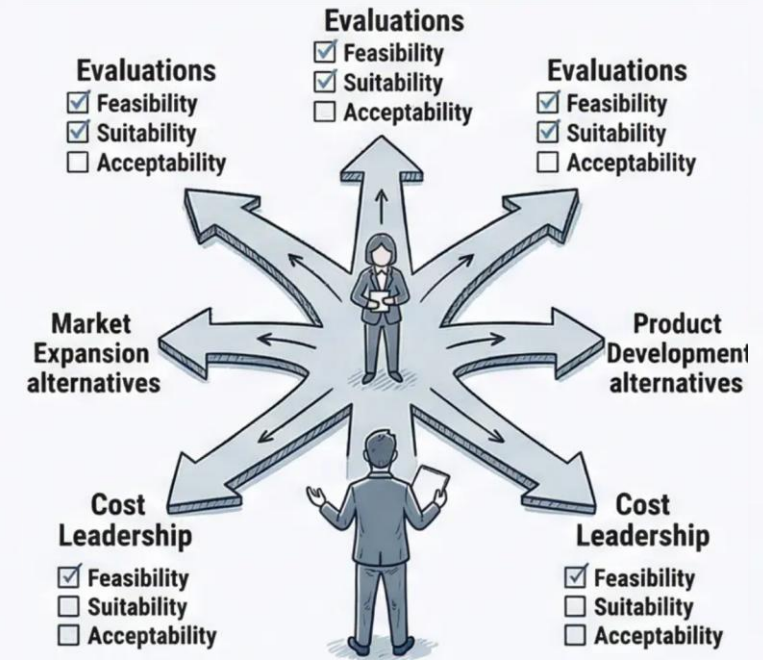
The Formulation Process

- Generation of Strategic Alternatives
- Brainstorming and creative thinking
- Scenario planning and modeling
- Stakeholder input and analysis
- Evaluation Criteria
- Feasibility: Can we execute this?
- Suitability: Does it fit our situation?
- Acceptability: Will stakeholders support it?



Strategic Alignment Framework

- Resource-Opportunity Alignment
- Internal capabilities assessment
- Market opportunity evaluation
- Strategic fit analysis
- Mission and Vision Integration
- Values-based decision making
- Long-term direction consistency
- Stakeholder expectation management



Establishing SMART Strategic Objectives

The SMART Criteria

S
M
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R
T

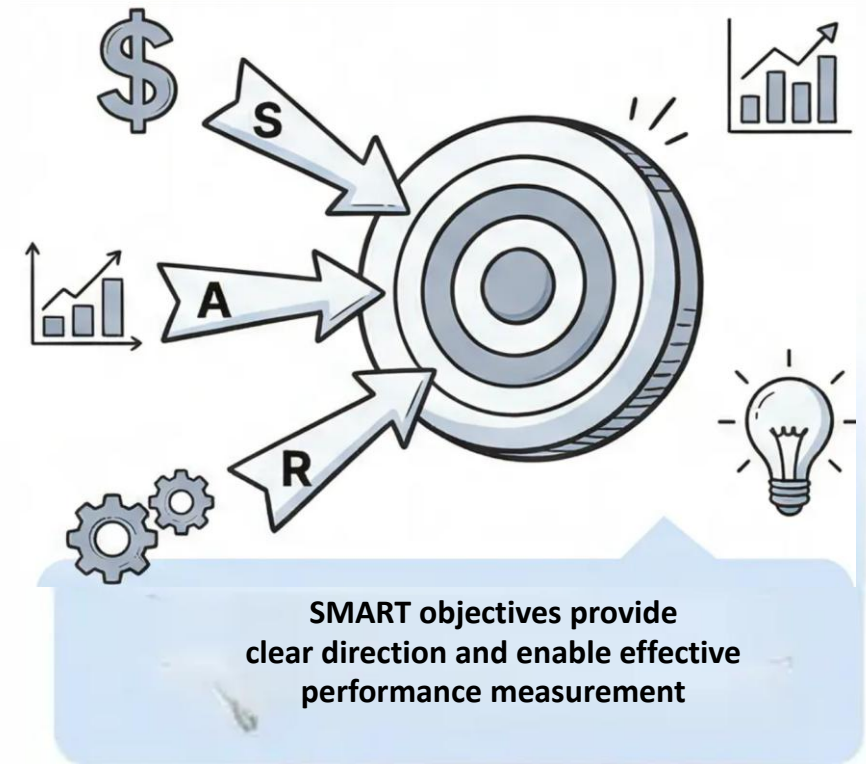
Specific - Clear and well-defined goals

Measurable - Quantifiable indicators and metrics

Achievable - Realistic and attainable targets

Relevant - Aligned with organizational strategy

Time-bound - Clear deadlines and timeframes



Strategic Objective Categories

Financial Objectives:

- Revenue growth targets
- Profit margin improvements
- Return on investment goals

Market Objectives:

- Market share expansion
- Customer acquisition targets
- Brand recognition metrics

Operational Objectives:

- Efficiency improvements
- Quality enhancement goals
- Supply chain optimization

Innovation Objectives:

- Product development timelines
- R&D investment targets
- Sustainability initiatives

Achieving Sustainable Competitive Advantage

Organizations outperform rivals by delivering greater value to customers through strategic positioning that competitors find difficult to replicate.



Sustainable Advantage Requirements:

Valuable to customers

Rare in the industry

Difficult to imitate

Organizational support

Strategic Implementation: Organizational Design

Transformation of plans into action requires aligning organizational structure, systems, and processes with strategic goals

Structure Alignment Factors:

- **Centralization vs. Decentralization**

- Strategic decisions may require centralized control for consistency
- Or decentralized authority for faster local responses

- **Departmentalization**

- Aligning departments with strategic goals
- Marketing, R&D, and Finance coordination

- **Flexibility and Adaptability**

- Structure must respond to strategic changes
- Clear roles while maintaining innovation capacity



Strategic Insight Callout:
“Misalignment between strategy and structure leads to inefficiencies, confusion, and resistance to change”

Leadership and Control Systems

Leadership in Implementation

- Vision Communication
 - Clear articulation of strategic direction
 - Inspiring and motivating teams
- 
- The illustration shows a man in a suit standing and speaking to a group of five people seated around a table. A speech bubble from the man contains the word "Vision". Another speech bubble from him contains a geometric logo. The seated people are listening attentively.
- Empowerment & Delegation
 - Giving authority to execute decisions
 - Building ownership at all levels
- Change Champion
 - Leading by example through transitions
 - Managing resistance effectively

Control Systems

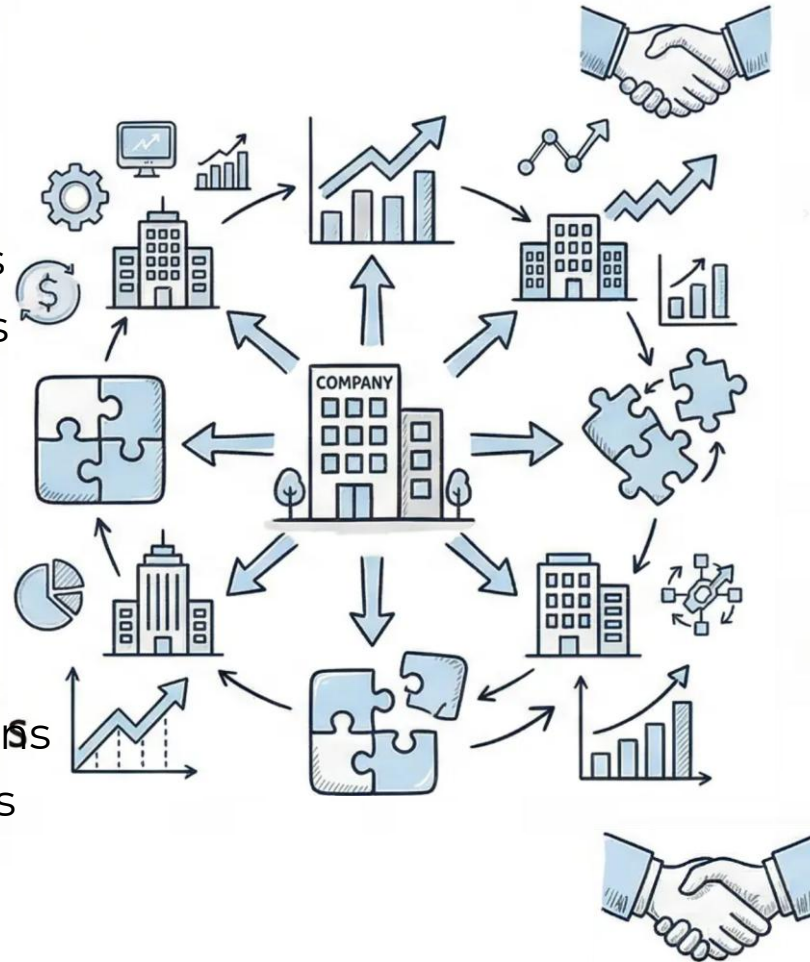
- Performance Monitoring
 - Track KPIs and strategic metrics
 - Real-time progress assessment
- Feedback Loops
 - Regular reviews and adjustments
 - Course correction mechanisms
- Corrective Actions
 - Timely interventions when needed
 - Continuous improvement processes



Corporate Strategy: Diversification and M&A

Types of Diversification

- Related Diversification
 - Leveraging existing capabilities
 - Shared resources and synergies
 - Example: Samsung electronics to semiconductors
- Unrelated Diversification
 - Independent business operations
 - Risk spreading across industries
 - Example: Berkshire Hathaway portfolio



M&A Strategic Benefits

- Key Advantages
 - Rapid market expansion
 - Access to new technologies
 - Economies of scale
 - Resource and talent acquisition
- Integration Challenges
 - Cultural alignment issues
 - Overvaluation risks
 - Post-merger integration complexity

International Strategy and Global Entry

Global expansion involves choosing entry modes while balancing standardization with cultural localization



Exporting

- Low risk, limited control
- Test markets with minimal investment



Licensing

- Share IP, faster market entry
- Lower investment, reduced control



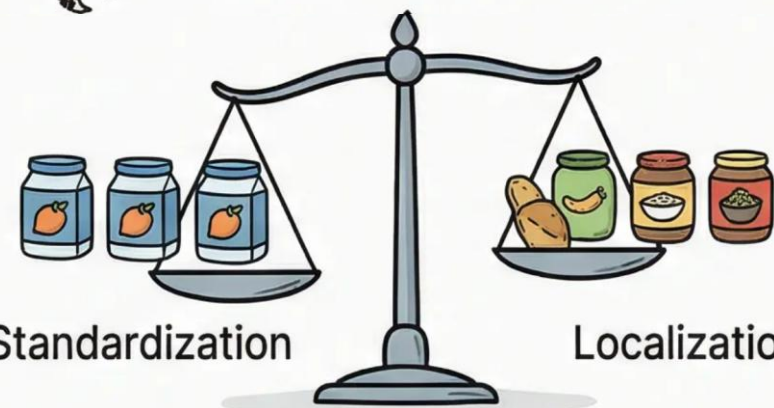
Joint Ventures

- Shared resources and risks
- Local expertise, cultural knowledge



Subsidiaries

- Maximum control and investment
- Full ownership, highest commitment



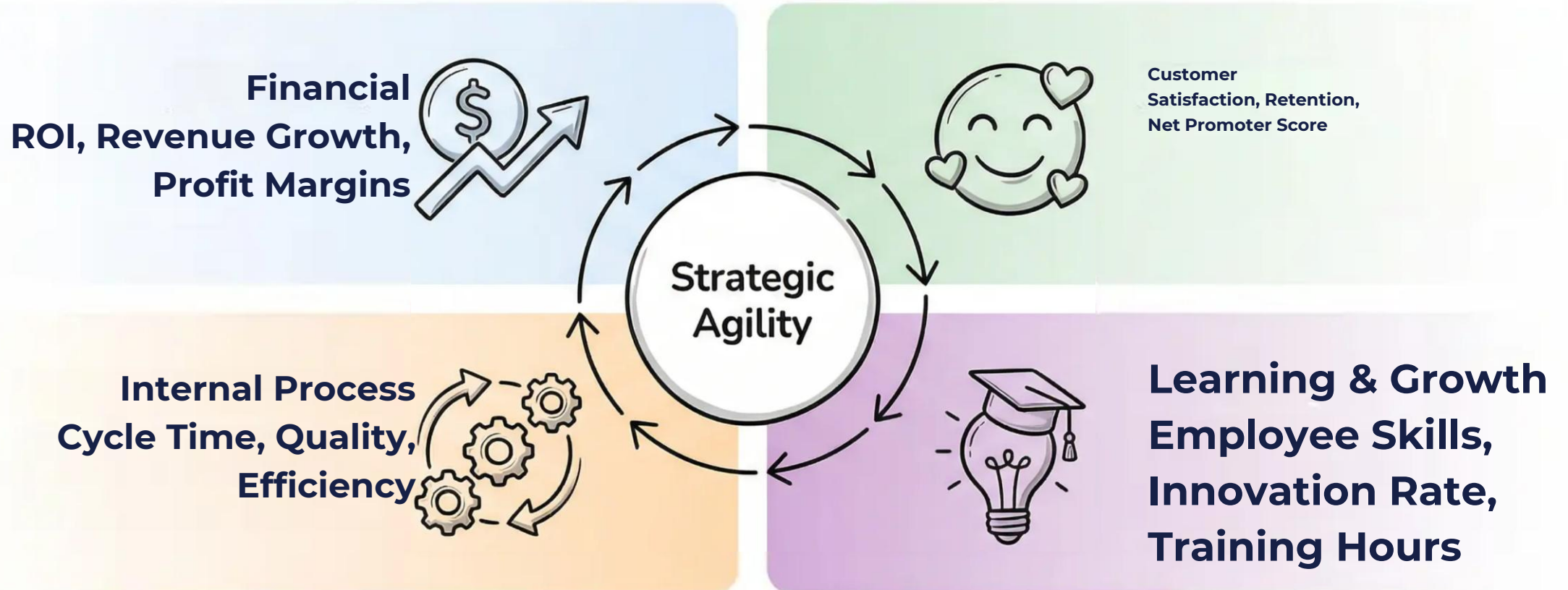
Standardization

Localization

Strategic Evaluation and Metrics

The Balanced Scorecard Framework

Ongoing monitoring using four integrated perspectives to ensure strategic agility and long-term performance



Ethics and Sustainability in Strategy

Modern strategy integrates Corporate Social Responsibility (CSR) and Environmental, Social, and Governance (ESG) factors to build stakeholder trust, brand reputation, and long-term resilience.

Corporate Social Responsibility (CSR)

- Strategic integration of ethical values into core operations
- Enhances brand reputation and customer loyalty
- Attracts socially conscious investors and talent

ESG Framework



Environmental: Climate action, resource efficiency



Social: Fair labor, community development, diversity



Governance: Ethical leadership, transparency, accountability

Strategic Benefits

- Long-term stakeholder trust and engagement
- Risk mitigation and operational resilience
- Competitive differentiation in conscious markets



Innovation & Digital Strategy

Driving Competitive Advantage Through Digital Transformation

Digital Transformation

- ⚙️ Leveraging digital technologies to fundamentally change business operations
- ⚙️ Reimagining customer experiences and value creation
- ⚙️ Cloud computing, AI, big data analytics, and IoT integration

Innovation Management

- 💡 Systematic process of generating and commercializing new ideas
- 💡 Stage-Gate model for structured development
- 💡 Open innovation through external collaboration

Agile Strategy

- 🔄 Adaptive approach emphasizing flexibility and rapid iteration
- 🔄 Short cycles (sprints) for testing and learning
- 🔄 Continuous feedback and quick direction adjustments



Leadership and Change Management



Two Essential Change Management Models



Kotter's 8-Step Process

- Create urgency and build coalition
- Form strategic vision and initiatives
- Enlist volunteer army and enable action
- Generate wins and sustain acceleration
- Institute lasting change



ADKAR Model

- Awareness of need for change
- Desire to participate and support
- Knowledge of how to change
- Ability to implement new skills
- Reinforcement to sustain change

Leadership Essentials

- Vision Communication: Clear, inspiring, relatable
- Change Championship: Leading by example
- Empowerment: Delegating authority for faster execution



Effective change leaders combine structured frameworks with emotional intelligence to guide teams through strategic transitions while minimizing resistance and maximizing engagement.

Common Strategic Pitfalls

What Organizations Must Avoid

Overplanning

Excessive analysis without decisive action

- Analysis paralysis prevents timely execution
- Missed market opportunities
- Strategy becomes outdated before implementation

Lack of Alignment

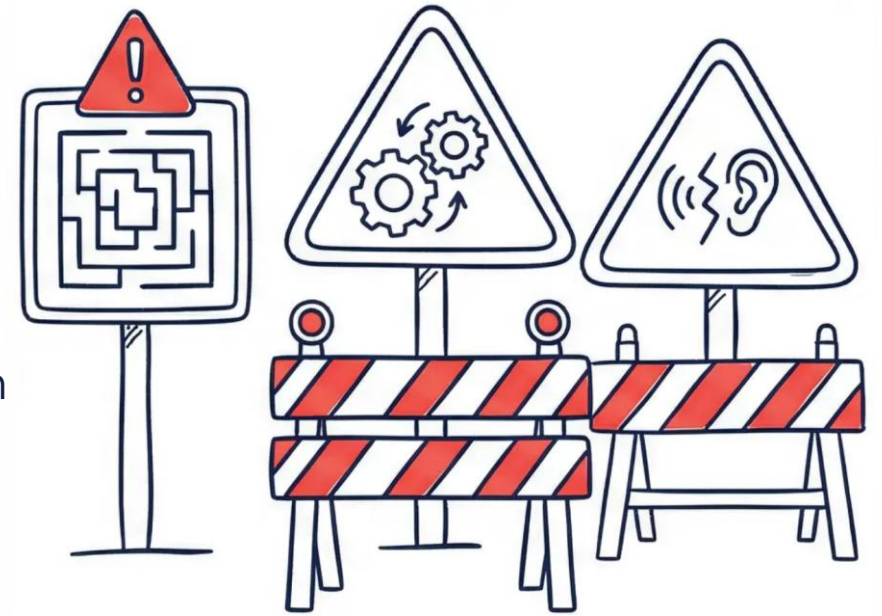
Misalignment between structure, culture, and strategy

- Organizational elements don't support strategic direction
- Employee resistance and confusion
- Implementation failure despite good planning

Ignoring Feedback

Failure to monitor and adapt strategies

- Not using performance data for refinement
- Strategy becomes irrelevant to market reality
- Resource waste and competitive disadvantage



 **Success requires balanced planning, organizational alignment, and continuous adaptation**

Future Trends and Key Takeaways



The Future of Strategic Management



AI-Driven Analytics: Real-time data processing for smarter strategic decisions



Scenario Planning: Preparing for multiple futures in uncertain environments



Resilience Strategy: Building adaptive capacity for long-term sustainability

Strategic management is an ongoing, dynamic process of continuous adaptation and learning

Success lies not just in crafting great plans, but in the relentless commitment to adaptation and growth